Consolidated Financial Statements
(Expressed in Canadian dollars)

# CANADA BREAD COMPANY, LIMITED

Three and six months ended June 30, 2007 and 2006

# CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
*(In thousands of Canadian dollars)*

| | As at June 30, 2007 | As at June 30, 2006 | As at December 31, 2006 |
|---|---|---|---|
| | ***(Unaudited)*** | *(Unaudited)* | |
| **ASSETS** | | | |
| **Current assets** | | | |
| Cash and cash equivalents | **$ 10,414** | $ – | $ – |
| Accounts receivable (Note 3) | **61,358** | 39,626 | 57,272 |
| Inventories | **51,406** | 41,944 | 46,081 |
| Future tax asset – current | **4,968** | 4,787 | 5,873 |
| Prepaid expenses | **3,786** | 6,363 | 3,576 |
| Other current assets (Note 2) | **74,158** | – | – |
| | $ **206,090** | $ 92,720 | $ 112,802 |
| Property and equipment | **385,978** | 350,427 | 374,647 |
| Goodwill (Note 7) | **360,486** | 311,426 | 372,980 |
| Future tax asset – non-current | **379** | 11,389 | 403 |
| Other intangibles | **5,035** | 5,588 | 5,321 |
| Other long-term assets | **1,905** | 575 | 58,115 |
| | **$ 959,873** | $ 772,125 | $ 924,268 |
| **LIABILITIES AND SHAREHOLDERS' EQUITY** | | | |
| **Current liabilities** | | | |
| Bank indebtedness | **$ –** | $ 3,096 | $ 1,130 |
| Accounts payable and accrued charges | **172,551** | 132,031 | 169,134 |
| Due to Maple Leaf Foods Inc. | **8,855** | 3,314 | 9,336 |
| Dividends payable | **1,525** | 1,525 | 1,525 |
| Income and other taxes payable | **20,822** | 15,628 | 23,336 |
| Current portion of long-term debt | **10,843** | 174 | 9,494 |
| | **$ 214,596** | $ 155,768 | $ 213,955 |
| Long-term debt | **92,733** | 14,431 | 86,471 |
| Future tax liability | **29,896** | 21,964 | 29,611 |
| Other long-term liabilities | **6,526** | 5,871 | 5,787 |
| Shareholders' equity | **616,122** | 574,091 | 588,444 |
| | **$ 959,873** | $ 772,125 | $ 924,268 |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
*(In thousands of Canadian dollars, except share amounts)*

| *(Unaudited)* | Three months ended June 30, 2007 | Three months ended June 30, 2006 | Six months ended June 30, 2007 | Six months ended June 30, 2006 |
|---|---|---|---|---|
| Sales | **$ 375,723** | $ 335,545 | **$ 734,060** | $ 637,109 |
| Earnings from operations before restructuring and other related costs | **$ 33,995** | $ 32,182 | **$ 63,956** | $ 60,183 |
| Restructuring and other related costs (Note 5) | **–** | **–** | **(2,192)** | **–** |
| Earnings from operations | **$ 33,995** | $ 32,182 | **$ 61,764** | $ 60,183 |
| Other income (expense) | **(93)** | (6) | **409** | 180 |
| Earnings before interest and income taxes | **$ 33,902** | $ 32,176 | **$ 62,173** | $ 60,363 |
| Interest expense | **1,375** | 1,105 | **2,630** | 1,834 |
| Earnings before income taxes | **$ 32,527** | $ 31,071 | **$ 59,543** | $ 58,529 |
| Income taxes | **11,302** | 8,191 | **20,408** | 16,252 |
| Net earnings for the period | **$ 21,225** | $ 22,880 | **$ 39,135** | $ 42,277 |
| Earnings per share - basic and diluted | **$ 0.84** | $ 0.90 | **$ 1.54** | $ 1.66 |
| Weighted average number of shares (millions) | **25.4** | 25.4 | **25.4** | 25.4 |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Retained Earnings
*(In thousands of Canadian dollars)*

| *(Unaudited)* | Six months ended June 30, **2007** | 2006 |
|---|---|---|
| Retained earnings, beginning of period | **$ 450,733** | $ 406,649 |
| Net earnings for the period | **39,135** | 42,277 |
| Inter-company acquisition (Note 8) | **(57)** | - |
| Dividends declared ($0.12 per share; 2006: $0.12 per share) | **(3,050)** | (3,050) |
| Retained earnings, end of period | **$ 486,761** | $ 445,876 |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Comprehensive Income
*(In thousands of Canadian dollars)*

| *(Unaudited)* | Three months ended June, **2007** | 2006 | Six months ended June 30, **2007** | 2006 |
|---|---|---|---|---|
| Net earnings for the period | **$ 21,225** | $ 22,880 | **$ 39,135** | $ 42,277 |
| Other comprehensive income (loss) (Note 4) | | | | |
| Change in accumulated foreign currency translation adjustment | **(9,326)** | (809) | **(10,041)** | 132 |
| Change in unrealized derivative gain on cash flow hedges | **2,032** | - | **1,853** | - |
| | **(7,294)** | (809) | **(8,188)** | 132 |
| Comprehensive income | **$ 13,931** | $ 22,071 | **$ 30,947** | $ 42,409 |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

# CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
*(In thousands of Canadian dollars)*

| *(Unaudited)* | Three months ended June 30, 2007 | Three months ended June 30, 2006 | Six months ended June 30, 2007 | Six months ended June 30, 2006 |
|---|---|---|---|---|
| CASH PROVIDED BY (USED IN) | | | | |
| **Operating activities** | | | | |
| Net earnings | **$ 21,225** | $ 22,880 | **$ 39,135** | $ 42,277 |
| Add (deduct) items not affecting cash: | | | | |
| Depreciation and amortization | **12,458** | 11,090 | **24,742** | 22,384 |
| Future income taxes | **(1,039)** | (2,442) | **(69)** | (3,519) |
| Loss (gain) on sale of property and equipment | **105** | 32 | **(385)** | (130) |
| Other | **(535)** | (1,184) | **(291)** | (1,068) |
| Change in operating working capital | **4,988** | (4,356) | **(5,982)** | (39,440) |
| | $ **37,202** | **$** 26,020 | $ **57,150** | **$** 20,504 |
| **Financing activities** | | | | |
| Dividends paid | **(1,525)** | (1,525) | **(3,050)** | (3,050) |
| Change in long-term debt | **(4,114)** | (13,872) | **7,563** | (10,578) |
| | $ **(5,639)** | **$** (15,397) | $ **4,513** | **$** (13,628) |
| **Investing activities** | | | | |
| Additions to property and equipment | **(30,858)** | (10,447) | **(42,525)** | (20,317) |
| Proceeds from sale of property and equipment | **126** | 530 | **726** | 806 |
| Purchase of net assets of business | **(245)** | – | **(8,234)** | (1,865) |
| Sale (purchase) of intangible assets | **(117)** | (128) | **(86)** | 22 |
| | $ **(31,094)** | $ (10,045) | $ **(50,119)** | **$** (21,354) |
| **Increase (decrease) in cash and cash equivalents** | **469** | 578 | **11,544** | (14,478) |
| Cash and cash equivalents (bank indebtedness), beginning of period | **9,945** | (3,674) | **(1,130)** | 11,382 |
| Cash and cash equivalents (bank indebtedness), end of period | **$ 10,414** | $ (3,096) | **$ 10,414** | $ (3,096) |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

# CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
*(In thousands of Canadian dollars)*

| *(Unaudited)* | Three months ended June 30, **2007** | 2006 | Six months ended June 30, **2007** | 2006 |
|---|---|---|---|---|
| **Sales** | | | | |
| Fresh Bakery | **$ 244,155** | $ 229,841 | **$ 463,341** | $ 437,335 |
| Frozen Bakery | **131,568** | 105,704 | **270,719** | 199,774 |
| | **$ 375,723** | $ 335,545 | **$ 734,060** | $ 637,109 |
| **Earnings from operations before restructuring and other related costs** | | | | |
| Fresh Bakery | **$ 25,769** | $ 26,844 | **$ 47,770** | $ 48,420 |
| Frozen Bakery | **8,226** | 5,338 | **16,186** | 11,763 |
| | **$ 33,995** | $ 32,182 | **$ 63,956** | $ 60,183 |
| **Additions to property and equipment** | | | | |
| Fresh Bakery | **$ 18,574** | $ 7,590 | **$ 25,576** | $ 13,141 |
| Frozen Bakery | **12,284** | 2,857 | **16,949** | 7,176 |
| | **$ 30,858** | $ 10,447 | **$ 42,525** | $ 20,317 |
| **Depreciation and amortization** | | | | |
| Fresh Bakery | **$ 6,504** | $ 5,687 | **$ 12,706** | $ 11,499 |
| Frozen Bakery | **5,954** | 5,403 | **12,036** | 10,885 |
| | **$ 12,458** | $ 11,090 | **$ 24,742** | $ 22,384 |

| | **As at June 30, 2007** | As at June 30, 2006 | As at December 31, 2006 |
|---|---|---|---|
| | **(Unaudited)** | (Unaudited) | |
| **Total assets** | | | |
| Fresh Bakery | **$ 398,774** | $ 370,660 | $ 378,311 |
| Frozen Bakery | **509,503** | 364,872 | 529,360 |
| Non-allocated assets | **51,596** | 36,593 | 16,597 |
| | **$ 959,873** | $ 772,125 | $ 924,268 |

The accompanying notes to the consolidated financial statements are an integral part of these statements.

## 1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at June 30, 2007.

## 2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2006. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2006, except for the following:

*(a) Accounting changes*

Effective January 1, 2007 the Company prospectively adopted the guidance presented in CICA Handbook Sections 1530 "Comprehensive Income" ("Section 1530"), Section 3855 "Financial Instruments – Recognition and Measurement" ("Section 3855"), and Section 3865 "Hedges" ("Section 3865").

On January 1, 2007 the Company recorded the following transitional adjustment to the consolidated balance sheet as a result of the adoption of the new standards:

| | | |
|---|---|---|
| Increase in other current assets | $ | 3,369 |
| Increase in future tax assets – non-current | | 85 |
| Increase in other long-term liabilities | | (3,616) |
| Accumulated other comprehensive loss – cash flow hedges | | 162 |

(i) Comprehensive Income

In accordance with Section 1530, the Company has presented comprehensive income and its components as part of the financial statements to show unrealized gains and losses that are not included in income. In accordance with the new standard, $5.3 million relating to unrealized losses resulting from the translation of self-sustaining operations which had previously been classified as unrealized foreign currency adjustment within shareholders' equity is now presented within accumulated other comprehensive income.

(ii) Financial Instruments

In accordance with Section 3855, the Company has classified all financial assets as either held for trading, available for sale, held-to-maturity or loans and receivables. All financial liabilities are classified as either held for trading or as other liabilities. Financial assets and liabilities classified as held for trading are measured at fair value with changes in fair value recognized in net income in the period in which they arise. Financial assets classified as available-for-sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired. Held-to-maturity investments, loans and receivables and other liabilities are measured at amortized cost. Gains or losses on financial assets and liabilities carried at amortized cost are recognized in earnings when the financial asset or financial liability is derecognized or impaired. All derivative instruments, including any embedded derivatives that are required to be separated from their host instruments, are recorded at fair value with changes in fair value being recorded in income unless the derivative is designated as a cash flow hedge or a hedge of a net investment in a self-sustaining foreign operation. The Company completed a detailed review of its financial instruments and its contracts and determined that the fair value of embedded derivative instruments which required separation from their host instruments was not significant.

(iii) Hedge Accounting

The Company's existing hedging relationships continue to qualify for hedge accounting under the new standard. The Company continues to designate hedges as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining foreign operation. For a fair value hedge, changes in the fair value of the hedging derivative are recognized in income together with the offsetting change on the hedged item attributable to the hedged risk. For cash flow and net investment hedges, changes in the fair value of the hedging derivative, to the extent effective, are recorded in other comprehensive income (loss) and are subsequently recognized in income when the hedged item affects income. Any ineffectiveness in hedging relationships is recognized as income or loss immediately.

On adoption the Company recognized an increase in other current assets of $3.4 million, an increase in other long term liabilities of $3.6 million and an increase in accumulated other comprehensive loss of $0.2 million (net of future taxes of $0.1 million) to recognize the fair value of interest rate and cross currency interest rate swaps used to hedge the Company's interest rate and foreign currency exposure. On adoption of the new standard, there was no ineffectiveness in these hedging relationships. The following table illustrates the fair values of financial instruments by type of hedging relationship:

| | As at January 1, 2007 | |
|---|---|---|
| | Other Current Assets | Other Long-term Liabilities |
| Cross currency interest rate swaps to hedge the net investment in self-sustaining foreign operations [(i)] | $ 59,803 | $ - |
| Interest rate swaps to hedge interest rate exposure | - | 3,616 |
| Total | $ 59,803 | $ 3,616 |

[(i)] The fair value amount includes a currency revaluation gain of $ 56.4 million, which has been recorded in the unrealized foreign currency translation adjustment, a component of accumulated other comprehensive income.

The fair value of the Company's financial instruments used to hedge interest rate and foreign currency exposures as at June 30, 2007 are as follows:

| | As at June 30, 2007 | | |
|---|---|---|---|
| | Other Current Assets | Current Liabilities | Other Long-term Liabilities |
| Cross currency interest rate swaps to hedge the net investment in self-sustaining foreign operations [(i)] | $ 71,996 | $ - | $ - |
| Interest rate swaps to hedge interest rate exposure | - | 223 | 659 |
| Foreign currency contracts to hedge transactions denominated in foreign currencies | 2,162 | - | - |
| Total | $ 74,158 | $ 223 | $ 659 |

[(i)] The fair value amount includes a currency revaluation gain of $ 70.7 million, which has been recorded in the unrealized foreign currency translation adjustment, a component of accumulated other comprehensive income.

*(b) Recent accounting pronouncements*

In May 2007 the Accounting Standards Board issued CICA Handbook Section 3031 "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company has not yet determined the impact the adoption of this standard will have on its financial statements.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The standard is effective for interim and annual financial statements relating to fiscal years beginning on or after October 1, 2007. The Company does not expect that the adoption of this standard will have a material impact on its financial statements.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 3863, "Financial Instruments – Presentation". The existing requirements related to presentation of financial instruments have been carried forward unchanged. The standard is effective for interim and annual financial statements relating to fiscal years beginning on or after October 1, 2007. The Company does not expect the adoption of this standard will have a material impact on its financial disclosure and results of operations.

*(c) Comparative figures*

Certain 2006 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2007 and the year ended 2006.

## 3. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2007, trade accounts receivable being serviced under this program amounted to $70.0 million (June 30, 2006: $70.0 million; December 31, 2006: $70.0 million).

## 4. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

| | Six months ended June 30, 2007 | 2006 |
|---|---|---|
| Balance at the beginning of the period | **$ (5,254)** | $ (14,882) |
| Transition adjustment as of January 1, 2007 (Note 2(a)) | **(162)** | - |
| Adjusted balance at the beginning of the period | **$ (5,416)** | $ (14,882) |
| Change in accumulated foreign currency translation adjustment[(i)] | **(10,041)** | 132 |
| Change in unrealized derivative gain on cash flow hedges – net[(ii)] | **1,853** | - |
| Other comprehensive income (loss) for the period | **$ (8,188)** | $ 132 |
| Accumulated other comprehensive loss as at June 30 | **$ (13,604)** | $ (14,750) |

*(i)* *Change in accumulated foreign currency translation adjustment is net of taxes of $nil for the six months ended June 30, 2007 (change for the quarter of $9.3 million net of taxes of $nil).*

*(ii)* *Change in unrealized derivative gain on cash flow hedges is net of tax of $ 0.8 million for the six months ended June 30, 2007 (change for the quarter of $2.0 million net of taxes of $0.9 million).*

*The Company estimates that $2.0 million of net derivative gains included in other comprehensive income will be reclassified into net earnings within the next 12 months. During the quarter, a gain of approximately $0.8 million (net of tax of $0.4 million) was released to income from accumulated other comprehensive loss, which is included in the net change for the period.*

## 5. RESTRUCTURING

During the fourth quarter of 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after tax). These costs related to the closure of a fresh bakery plant in British Columbia, and lease termination costs related to the winding down of the fresh waffle business in Ontario. During the first quarter of 2007, additional costs of $2.2 million ($1.5 million after tax) were incurred relating to these closures. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives during the past three quarters as well as the related liability as at June 30, 2007.

| | Severance | Site closing | Accelerated Depreciation | Retention | Total |
|---|---|---|---|---|---|
| **2006 Restructuring and other related Costs** | | | | | |
| Charges during fourth quarter | $ 2,525 | $ 1,428 | $ 1,531 | $ – | $ 5,484 |
| Cash payments | – | (67) | – | – | (67) |
| Non-cash items | – | – | (1,531) | – | (1,531) |
| Balance at December 31, 2006 | $ 2,525 | $ 1,361 | $ – | $ – | $ 3,886 |
| Charges during first quarter | $ – | $ 269 | $ 1,861 | $ 62 | $ 2,192 |
| Cash payments | – | (193) | – | – | (193) |
| Non-cash items | – | – | (1,861) | – | (1,861) |
| Balance at March 31, 2007 | $ 2,525 | $ 1,437 | $ – | $ 62 | $ 4,024 |
| Cash payments | (571) | (177) | – | (8) | (756) |
| Balance at June 30, 2007 | $ 1,954 | $ 1,260 | $ – | $ 54 | $ 3,268 |

## 6. PENSIONS

During the quarter, the Company recorded $2.7 million related to net benefit plan expense (2006: $2.6 million). For the first six months of 2007, the Company recorded $5.2 million in net benefit plan expense (2006: $5.1 million)

## 7. GOODWILL

In accordance with Canadian accounting standards section 3062, "Goodwill and Other Intangible Assets", the Company tests goodwill for possible impairment on an annual basis and at any other time if an event occurs or circumstances change that would more likely than not reduce the fair value of a reporting unit below its carrying amount. During the second quarter of 2007, the Company completed the goodwill impairment test for all reporting units and determined that there was no impairment to the carrying value of goodwill.

## 8. ACQUISITIONS

On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. (“Chevalier”) for $7.9 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. As at June 30, 2007 the Company has not yet finalized the purchase price allocation.

On October 2, 2006, the Company acquired the shares of Royal Touch Foods Inc. (“Royal Touch”) for $8.0 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. During the second quarter of 2007 the purchase price was adjusted due to changes in working capital and accruals on closing. The difference between these adjustments and the carrying amount of the investment held by Maple Leaf of $0.1 million is recorded as a reduction of retained earnings. As at June 30, 2007 the Company has not yet finalized the purchase price allocation.

## 9. SUPPLEMENTAL CASH FLOW INFORMATION

| | Three months ended June 30, | | Six months ended June 30, | |
|---|---|---|---|---|
| | **2007** | 2006 | **2007** | 2006 |
| Net interest paid | **$ 1,237** | $ 1,358 | **$ 2,672** | $ 2,087 |
| Net income taxes paid | **9,059** | 10,791 | **22,147** | 28,068 |